

Edexcel (A) AS Economics — Practice

Paper 2: The UK Economy — Performance and Policies

Difficulty: Moderate

Time allowed: 1 hour 30 minutes

Total marks: 80

Instructions

- Use black ink or ball-point pen.
- There are two sections in this question paper.
- Answer all questions in Section A.
- In Section B, answer all of questions 6(a) to 6(e) and one question from 6(f) or 6(g).
- Answer the questions in the spaces provided.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 25 minutes on this section.

Use the data to support your answers where relevant.

1 In early 2023 the UK unemployment rate was approximately 3.8% and the employment rate was approximately 76% of the working-age population.

(Source: adapted from Office for National Statistics, Labour Market Overview)

(a) Which **one** of the following is the most likely cause of **cyclical** unemployment? **(1)**

- ☐ **A** A fall in aggregate demand during a recession
- ☐ **B** A worker leaving a job to search for a better one
- ☐ **C** A mismatch between workers' skills and the jobs available
- ☐ **D** A seasonal decline in tourism over the winter months

(b) Explain **one** economic cost to a government of a high level of unemployment. **(3)**

(Total for Question 1 = 4 marks)

2 In 2022 UK gross household saving as a proportion of disposable income was estimated to be approximately 6.7%.

(Source: adapted from Office for National Statistics)

(a) Define the term '**aggregate demand**'. **(1)**

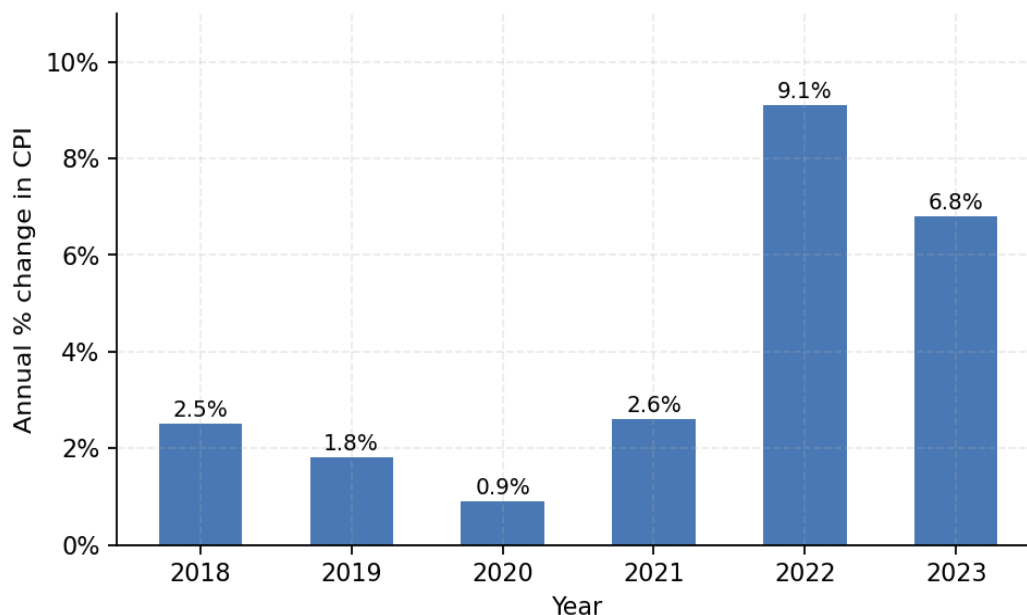
(b) Explain **one** factor that could cause aggregate demand in the UK to decrease. **(2)**

(c) Which **one** of the following is **not** a component of aggregate demand? **(1)**

- ☐ **A** Consumption
- ☐ **B** Government spending
- ☐ **C** Net exports
- ☐ **D** Aggregate supply of labour

(Total for Question 2 = 4 marks)

3 The chart below shows the UK Consumer Prices Index (CPI) annual inflation rate from 2018 to 2023.



(Source: adapted from Office for National Statistics)

(a) Which **one** of the following can be inferred from the above chart? **(1)**

- **A** The UK economy experienced deflation in 2020
- **B** The inflation rate in 2022 was more than three times the rate in 2018
- **C** The Bank of England's 2% target was met in every year shown
- **D** Inflation was lower in 2023 than in 2019

(b) With reference to the chart above, explain **one** likely cause of the change in the UK inflation rate between 2021 and 2022. **(3)**

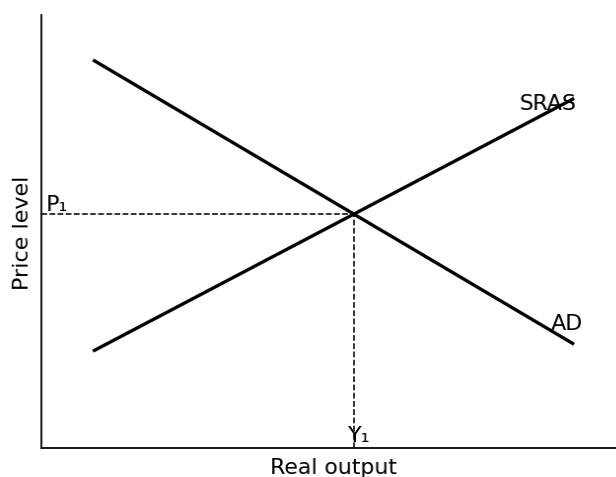
(Total for Question 3 = 4 marks)

4 In 2023 the UK government announced an increase in spending on infrastructure projects such as rail, roads and broadband networks.

(Source: adapted from HM Treasury)

(a) Define the term '**government spending**'. (1)

(b) Annotate the aggregate demand (AD) and short-run aggregate supply (SRAS) diagram below to show the likely impact of an increase in government spending on the equilibrium level of real output and the price level. (2)



(c) Which **one** of the following is most likely to **reduce** aggregate demand in the UK? (1)

- A A reduction in the Bank of England's base rate
- B A fall in income tax rates
- C An appreciation of the pound sterling
- D An increase in consumer confidence

(Total for Question 4 = 4 marks)

5 The table below shows the UK's trade in goods balance, in £ billion, between 2019 and 2022.

Year	Trade in goods balance (£ billion)
2019	–138
2020	–128
2021	–151
2022	–190

(Source: adapted from Office for National Statistics)

(a) Define the term '**current account deficit**'. (1)

(b) Using the above table, calculate the percentage increase in the size of the UK trade in goods deficit between 2019 and 2022. You are advised to show your working. (2)

(c) Which **one** of the following is most likely to **improve** the UK current account balance? (1)

- A An appreciation of the pound against the euro
- B A fall in domestic productivity
- C A depreciation of the pound that makes UK exports cheaper to foreign buyers
- D A rise in UK consumer incomes that increases demand for imports

(Total for Question 5 = 4 marks)

TOTAL FOR SECTION A = 20 MARKS

SECTION B

Read Figures 1 and 2 and Extract A before answering Question 6.

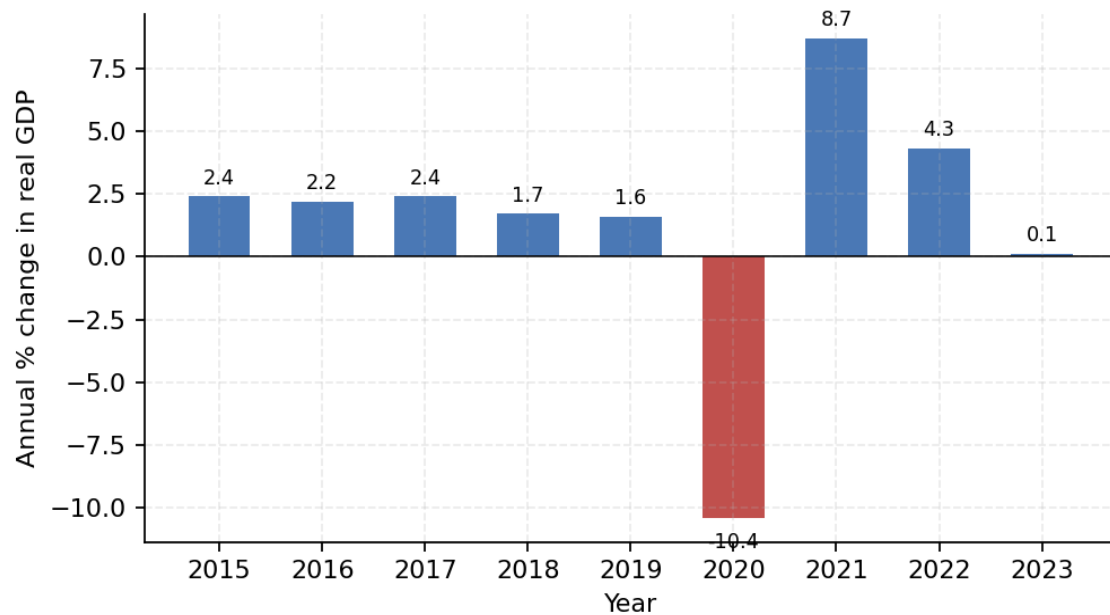
Answer ALL Questions 6(a) to 6(e) and EITHER Question 6(f) OR Question 6(g).

You are advised to spend 1 hour and 5 minutes on this section.

Question 6

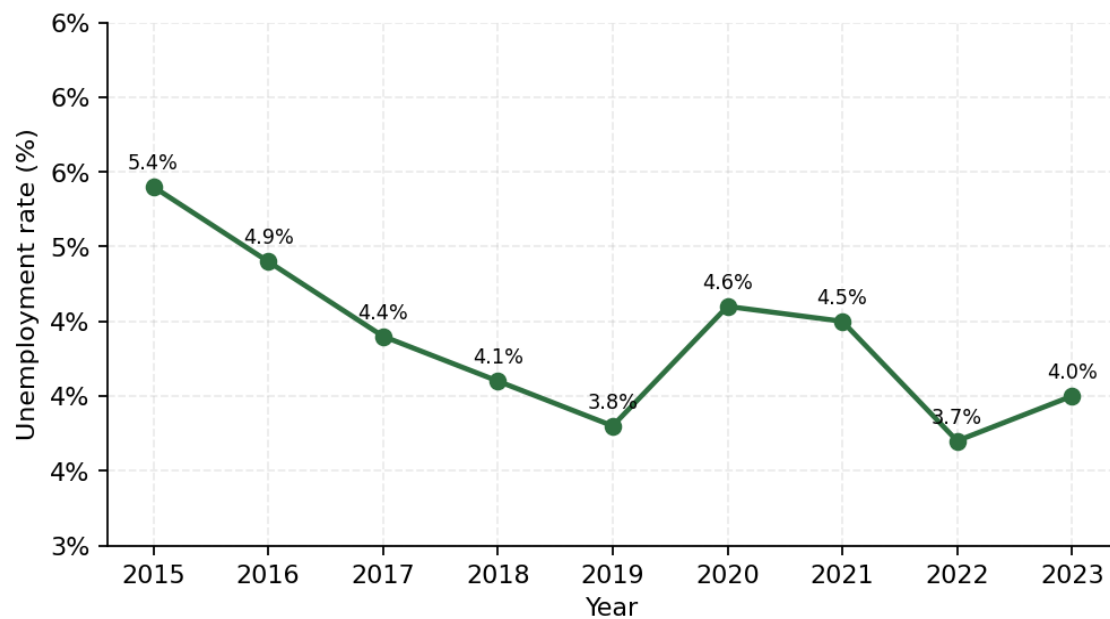
UK fiscal policy and the economic recovery

Figure 1: UK real GDP, annual percentage change, 2015 to 2023



(Source: adapted from Office for National Statistics)

Figure 2: UK unemployment rate (% of the labour force), 2015 to 2023



(Source: adapted from Office for National Statistics)

Extract A

Has fiscal stimulus helped the UK recovery?

When the coronavirus pandemic hit the UK in March 2020, the government introduced one of the largest peacetime increases in public spending the country has seen. Through the furlough scheme, business support grants, and emergency funding for the NHS, total support measures were estimated at over £370 billion between 2020 and 2022. This was financed largely through additional government borrowing.

As a result, public sector net debt rose from around 84% of GDP in 2019 to almost 100% of GDP by the end of 2022. The Office for Budget Responsibility (OBR) warned that, unless interest rates remained low, the cost of servicing this debt could become a significant burden on future taxpayers.

Despite the large deficit, supporters of the policy argue that the fiscal response prevented a deeper and longer recession. The unemployment rate peaked at only 5.2% in late 2020, far below the levels seen after the 2008 Global Financial Crisis. By 2022, real GDP had recovered to its pre-pandemic level and job vacancies reached record highs.

However, by 2022 the economy faced a new problem. Rapid increases in global energy prices, combined with the lingering effects of supply-chain disruption and a tight labour market, pushed CPI inflation above 10% in the autumn. Critics argued that continued fiscal support, alongside loose monetary policy, had added to demand-pull pressures and worsened the cost-of-living crisis.

In response, the government in 2023 began to tighten fiscal policy by raising some tax rates and freezing income tax thresholds. The Bank of England also raised the base rate sharply, from 0.1% in December 2021 to 5.25% by August 2023. Some economists worry that combining fiscal and monetary tightening too aggressively risks tipping the UK back into recession, while others argue that reducing public debt and re-anchoring inflation expectations must be the priority.

For the household sector, the picture is mixed. Lower-income households have been hit hardest by rising food and energy bills, while higher savers have benefited from higher returns on deposits. Policymakers continue to debate whether further targeted spending, or a more general loosening of tax burdens, would best support living standards in the years ahead.

(Source: original passage written for this practice paper)

6 (a) With reference to Figure 1, explain the term ‘fiscal policy’. (4)

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This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

This image shows a full page of blank, lined paper. It features approximately 20 evenly spaced horizontal grey lines across its entire width, providing a guide for handwriting or typing. The paper itself is a clean, off-white color.

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

EITHER

6 (f) Evaluate the view that increasing government spending is the most effective way to reduce unemployment in the UK. **(20)**

OR

6 (g) Evaluate whether fiscal stimulus has been more effective than monetary policy in supporting UK economic growth between 2020 and 2023. **(20)**

Indicate which question you are answering by marking a cross in the box. Chosen question number:

Question 6(f) ■ Question 6(g) ■

Write your answer here:

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(Total for Question 6 = 60 marks)
TOTAL FOR SECTION B = 60 MARKS
TOTAL FOR PAPER = 80 MARKS